The Lira Doesn’t Lie: Institutional Foundations of Currency Depreciation in Turkey

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INTRODUCTION

When a currency collapses, the first explanation is usually monetary: interest rates were set wrongly, the money supply grew too fast, or the central bank did not act firmly enough. These explanations are not wrong, but they are incomplete. A diagnosis that finds only the immediate cause of a crisis leads to remedies that treat only its symptoms.

Measured against the US dollar, the Turkish lira lost about 97% of its value between January 2008 and June 2025: one dollar cost about 1.16 lira on 2 January 2008 (Habertürk, n.d.) and about 39.8 lira on 30 June 2025 (ValutaFX, n.d.). This happened through a long series of depreciations, interrupted by stabilisation attempts that did not last. In 2005, six zeros were removed from the currency to restore confidence, but the conditions that had made the redenomination necessary remained.

In this essay I argue that the lira’s long decline is best understood as an institutional problem rather than only a monetary one. Three conditions work together: a productive base that does not cover the country’s import needs, a dependence on foreign financing, and a weakening of the independent institutions on which investor confidence and monetary credibility depend. No single interest rate decision can fix all three.

I. A CURRENCY IN DECLINE

The lira’s weakness did not begin with any one government. From the 1960s onwards, an industrialisation strategy that relied heavily on imported inputs and capital goods put steady pressure on the currency. A pattern formed that has lasted for decades: Turkey imports more than it exports, finances the gap by borrowing abroad, and periodically pays for that dependence through currency crises and bursts of inflation.

The most severe crisis came in 2001, when a banking collapse and a sudden stop in capital inflows caused a sharp depreciation. By then, decades of high inflation had pushed the exchange rate from about 9 lira per dollar in the late 1960s to around 1.65 million lira per dollar in 2001. Four years later, in 2005, the government removed six zeros and introduce the new Turkish lira. The symbolic message was a fresh start, but the structural conditions behind the old inflation were left largely in place.

After 2008, depreciation resumed and then accelerated in the late 2010s and early 2020s, as unorthodox monetary policy and weaker central bank independence added to the structural pressures.

II. THE MONETARY EXPLANATION AND ITS LIMITS

The most common explanation for the lira’s fall focuses on the unorthodox interest rate policy of 2021 to 2023. It is a fair explanation of the immediate trigger, but not of the underlying cause.

The 2021 crisis followed a series of rate cuts made while inflation was rising. President Erdoğan argued publicly that high interest rates cause inflation, and he linked this view to Islamic principles on interest. Mainstream monetary economics holds the opposite, and the outcome fitted what most economists expected. After the central bank began cutting rates in the second half of 2021, the lira lost 44% of its value against the dollar over the year (Gulf News, 2022), and annual inflation later peaked at 85.5% in October 2022 (Daily Sabah, 2022). These figures alone do not isolate the effect of the rate cuts.

What made these decisions possible matters more than the decisions themselves. Between July 2019 and June 2023, Turkey replaced four central bank governors, none of whom completed a full term (Reuters, 2024). In March 2021, Governor Naci Ağbal was dismissed two days after raising the policy rate to 19% (Al Jazeera, 2021). When an institution responsible for price stability can lose its head for doing its job, markets have little reason to trust its future promises.

In 2023, Mehmet Şimşek became Finance Minister and policy returned to orthodox methods: sharp rate increases, tighter fiscal policy and a more realistic exchange rate. This brought some stabilisation. But stabilisation is different from structural repair, and credibility lost over several years returns slowly and only if the conditions that allowed its loss change as well.

III. THE CURRENT ACCOUNT AND THE ROLE OF TRUST

The lira's vulnerability cannot be separated from Turkey's current account deficit, which has appeared in most years since 2002 and reached about 45.2 billion dollars in 2023 (Hürriyet Daily News, 2024). One main cause is a gap between what the economy produces and what it uses. Turkey depends on imports of energy, intermediate goods and many consumer products, so when demand grows, imports grow with it, and the deficit tends to follow.

A country with a current account deficit has to attract foreign capital to finance it. In the 2000s and early 2010s, strong growth and favourable global conditions made this relatively easy. Long-term investors, however, look for more than growth. They want confidence that contracts will be honoured, that property rights will be respected and that rules will be applied consistently. When that confidence weakens, long-term foreign direct investment tends to become harder to attract, and the gap is filled more by short-term portfolio flows and external borrowing, which can leave quickly when global conditions or domestic politics change.

The result is a cycle. A narrow productive base produces a persistent deficit. The deficit needs external financing. Weaker institutional trust makes stable financing scarcer. Dependence on short-term flows makes the lira sensitive to shocks, and each depreciation raises import costs and inflation, which widens the deficit again.

IV. CAN TURKEY BREAK THE CYCLE?

The policy turn of 2023 suggested that orthodox tools still work: the exchange rate became more predictable. The harder question is whether short-term stabilisation can become a lasting change. That would require two things that monetary policy cannot deliver on its own. The first is a stronger productive base, through investment in industry, agriculture and technology, so that growth does not automatically widen the current account deficit. The second is durable institutional credibility: a central bank whose independence is protected by rules rather than by the preferences of whoever is in office, and a legal environment in which investors expect consistent treatment.

Both take years and depend on political choices as much as on economic ones. Until they are addressed, I expect the lira to remain vulnerable to the next shock, whatever the level of interest rates. In that sense the exchange rate can be read as a rough, running indicator of how much confidence investors and households have in the country's institutions, though other factors also move it.

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